

much of a compliance requirement and the regulatory framework related to risk management and margins, in particular, keeps changing regularly thereby making the business less lucrative with each new rule that comes into play.

Interestingly, they feel that the capital markets regulator always looks at broking firms—the broking vertical to be more specific—with suspicion even as there are other categories of intermediaries as well that have their share of questionable actions.

That is also one reason why at a time when discount broking firms have become the go-to platforms for trade execution, most of the traditional brokerages have diversified into distribution and the advisory business to make money.

This assumes significance as brokerage rates are already at zero or near-zero levels and cannot re-

THE LATEST SET OF SEBI PROPOSALS, WHEN ENACTED, WILL MAKE THE INDIAN CAPITAL MARKETS MORE ROBUST

ally go further south. So, to keep the cash registers ringing, value-added services need to be offered—a fact not missed even by the discount broking firms that are cross-selling a lot of investment products to their broking clients.

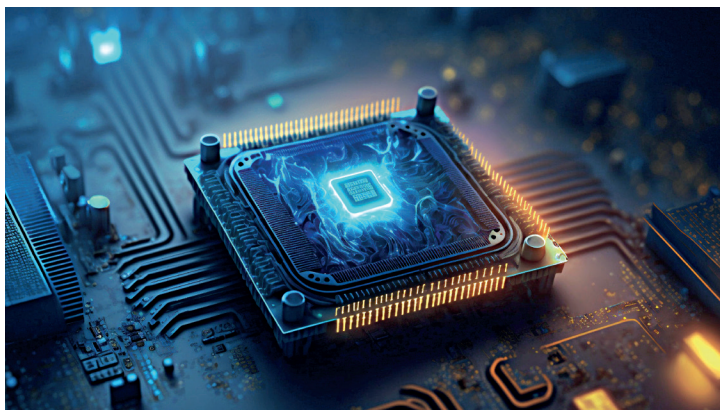
It's a fact that industries evolve and technology acts both as an enabler and a disruptor. Broking firms will have to be as agile as possible to keep themselves relevant in a fast-changing environment. **BT**

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Time to Act

Even as the government evaluates the five applications to set up fabs in India, not much has moved forward since February 2022

BY NIDHI SINGAL



AI-GENERATED IMAGE BY **HARDIK CHHABRA**

► **THE CHIP SHORTAGE** and the geopolitical crisis over the past 20 months have made nations, who were earlier relying on other countries for their semiconductor needs, realise the importance of manufacturing chips domestically. The EU and the US have already come up with regulations to set up chip manufacturing facilities, and both have already bagged some big investments. Taiwan's TSMC had also started building a fab in Japan in 2021, and recently Lithuania, too, bagged a \$10-million commitment from Taiwan. Meanwhile India had rolled out a \$10-billion incentive scheme in January 2022 to attract chips and display manufacturing firms in the country. But the government is still evaluating the five proposals it had received in the first round of applications (February 2022).

As firms in countries like the US, the EU and Japan finalise

the locations to set up new facilities, the urgency of setting up a similar facility in India will dissipate substantially. "The delay in approvals may cause some of the current applicants to give up and may also deter some who may have been considering applying," says independent semiconductor analyst Arun Mampazhy. But this may not be a completely lost cause if, in the next few weeks, the Ministry of Electronics and IT (MeitY) can announce its decision and take the process forward.

As the government decides on the applications, the relevance of setting up a fab in the shortest possible time is waning quickly. If history is any lesson, the country should remember that it lost Intel's multi-billion-dollar project in 2005 due to a delay in firming up its semiconductor policy. **BT**

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